RISK

Risk at a glance

Risk team [authors]

1-day VaR 99	1-day ES 99	Ex-ante volatility	Beta to MSCI World
1.72%	**1.94%**	**11.8%**	**0.35**
+0.2pp vs 31 Oct	+0.3pp vs 31 Oct	+0.9pp vs 31 Oct	+0.03 vs 31 Oct
Gross exposure	**Net exposure**	**Largest position**	**Drawdown from peak**
227.8%	**+17.7%**	**9.0%**	**-5.9%**
+6.1pp vs 31 Oct	-4.2pp vs 31 Oct	IND4 XX	max -5.9% since start

% of NAV unless stated; NAV £3.00m.

EDITORIAL

Gross is back above its limit as TMT shorts grow; risk is concentrated in TMT

Gross rose 6pp to 228%, above the 200% limit, as TMT and Materials added shorts; net fell to 18%.

TMT holds 16% of gross but 25% of volatility: its two largest longs, both AI-capex names, top the VaR contributors and trade almost as one.

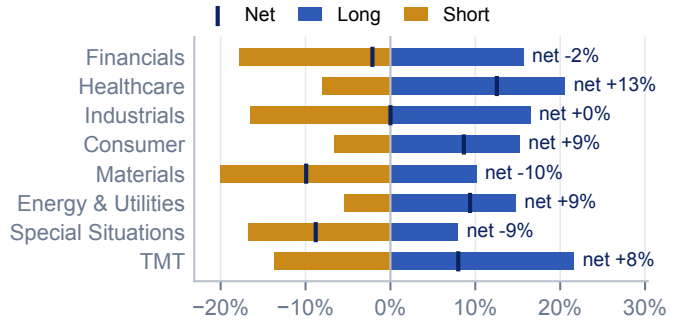
What we are watching:

- Gross breach: TMT and Materials PMs to reduce or justify.
- TMT earnings w/c 8 December.
- Momentum reversal if rate-cut expectations shift.

Exposure by team

AUTO

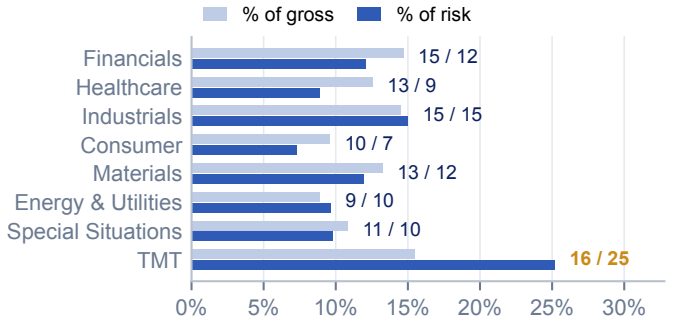
Long and short, % of fund NAV; tick = net



Risk by team

AUTO

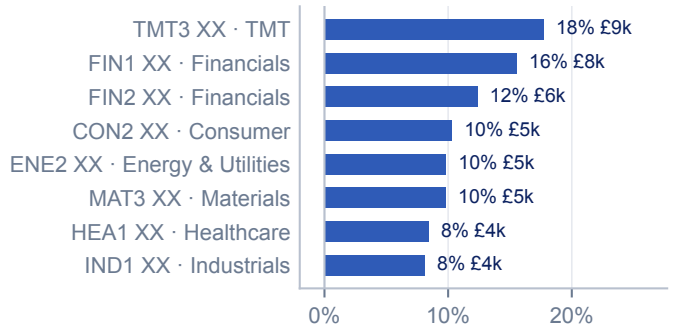
Share of gross vs share of ex-ante volatility (amber: risk well above capital)



Top contributors to VaR

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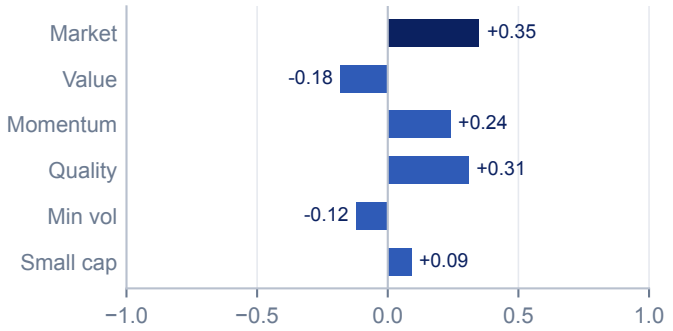
Top 8 positions, share of 1-day VaR99 (amber: reduces VaR)



Factor exposures

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Fund betas to MSCI World and factor spreads, 2y weekly · R² 64%



Mandate checks

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Limit	Actual	Limit	Status
Gross % NAV	227.8	≤ 200	▲ Breach
Net % NAV	17.7	-20 to 80	✓ OK
Largest position % NAV	9.0	≤ 10	✓ OK
1-day VaR99 % NAV	1.8	≤ 3	✓ OK

Sensitivity tests

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Sensitivity	% NAV	£	
MSCI World −10%	-3.5%	−£106k	via beta
UK 10y +100bp	-2.1%	−£63k	2y regression
US 10y +100bp	-1.4%	−£42k	2y regression
Worst day, today's book	-2.4%	−£73k	20 Dec 2019

Data: Bloomberg PORT and prices to 2026-11-30, GBP. VaR/ES: historical simulation over 1825 days; contributions scaled to sum to VaR. Beta: NAV-weighted position betas. Team figures % of fund NAV. Full methods in Methods, sources & people. Only 42 days of fund history: drawdown is indicative and realised vol and Sharpe are not shown. ILLUSTRATIVE DATA, NOT BIF HOLDINGS.